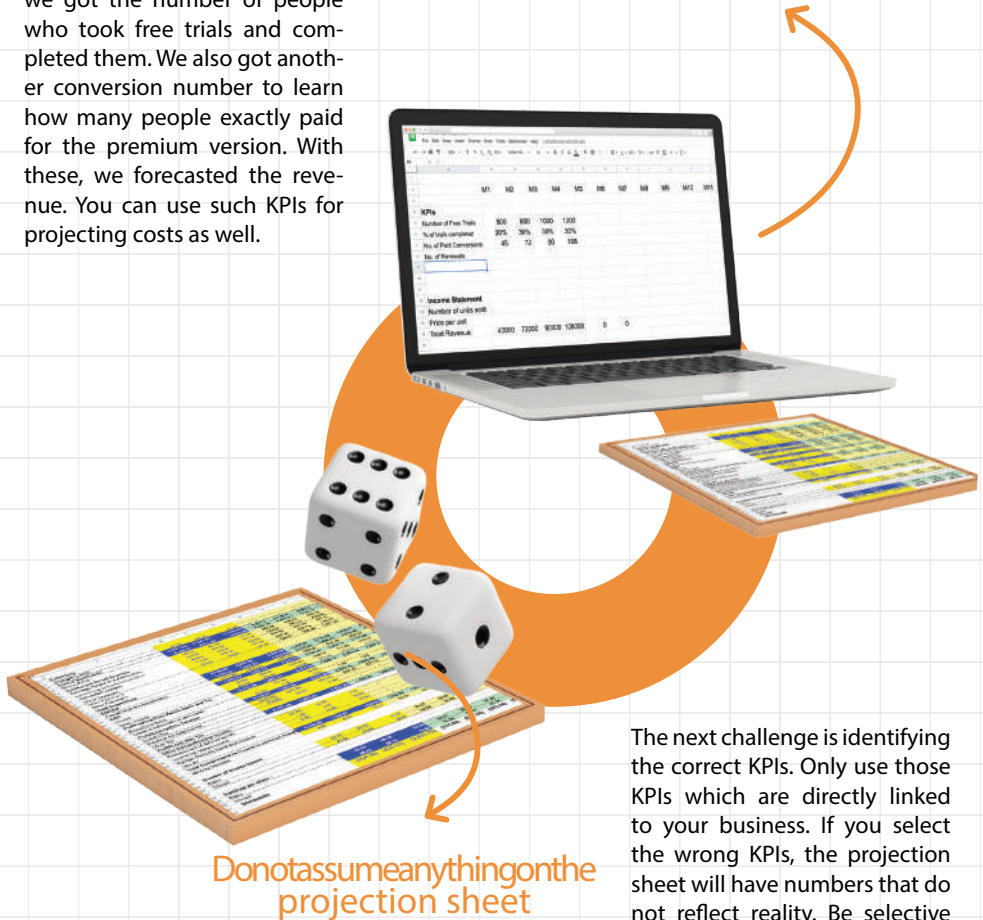


1. KPI Driven Assumptions

Do not assume anything on the projection sheet; always use KPIs to justify every assumption. We saw previously how we reached monthly revenue using different KPIs. In the example, we got the number of people who took free trials and completed them. We also got another conversion number to learn how many people exactly paid for the premium version. With these, we forecasted the revenue. You can use such KPIs for projecting costs as well.

Always take help from KPIs to justify every assumption.



The next challenge is identifying the correct KPIs. Only use those KPIs which are directly linked to your business. If you select the wrong KPIs, the projection sheet will have numbers that do not reflect reality. Be selective with KPI selection.